

Reg No.: _____

Name: _____

APJ ABDUL KALAM TECHNOLOGICAL UNIVERSITY

B.Tech Degree S6 (S, FE) / S6 (PT) (S, FE) Examination December 2024 (2019 Scheme)

Course Code: HUT300**Course Name: INDUSTRIAL ECONOMICS & FOREIGN TRADE**

Max. Marks: 100

Duration: 3 Hours

PART A*Answer all questions, each carries 3 marks.*

Marks

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| 1 | What are the central problems of an economy? | (3) |
| 2 | State the law of diminishing marginal utility and its two assumptions. | (3) |
| 3 | What are external economies? Identify any two types of external economies. | (3) |
| 4 | Illustrate expansion path using a diagram? | (3) |
| 5 | Identify three distinctions between perfect competition and monopoly. | (3) |
| 6 | What is non-price competition? Give any two examples | (3) |
| 7 | Explain the difference between stock and flow in national income with example. | (3) |
| 8 | Briefly explain demat account and trading account | (3) |
| 9 | State any three effects of quotas. | (3) |
| 10 | What is devaluation? | (3) |

PART B*Answer one question from each module, each carries 14 marks.***Module I**

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|----|---|------|
| 11 | a) State the law of demand and explain the law by using a diagram and schedule. | (10) |
| | Briefly explain any three exceptions to law of demand. | |
| | b) Explain four types of firms in business field. | (4) |

OR

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| 12 | a) Explain five degrees of elasticities of demand with diagrams | (10) |
| | b) Define consumer surplus, producer surplus, social surplus and deadweight loss. | (4) |

Module II

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|----|--|------|
| 13 | a) What is a production function? Explain long run production function and represent the three returns to scales with isoquants. | (10) |
| | b) What is technical progress? Distinguish between embodied and disembodied technical progress. | (4) |

OR

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- 14 a) Examine TFC, TVC, AC and MC in the short run with appropriate diagrams. (10)
b) Draw a diagram and derive the three relations between MC and AVC. (4)

Module III

- 15 a) What is oligopolistic market? How does the concept of a kinked demand curve explain price stability in an oligopolistic market? (10)
b) What are the characteristics of monopolistic competition, and how does it differ from monopoly? (4)

OR

- 16 a) Briefly explain any four pricing strategies (10)
b) Suggest any two methods for regulating monopoly. (4)

Module IV

- 17 a) Explain value added method. A company produces bread and its value of output = Rs. 150 crores and intermediate Consumption = Rs. 50 crores. It pay an indirect tax of Rs. 10 crores and does not receive any subsidy from the government. What is the contribution of the company towards GDPmp and GDPfc. (10)
b) How is GDP estimated under expenditure method? (4)

OR

- 18 a) Explain cost push inflation with the help of a diagram. What are the effects of inflation on production and distribution? (10)
b) Distinguish between a money market and capital market. (4)

Module V

- 19 a) Explain absolute advantage theory and Heckscher-Ohlin theory with numerical examples. (10)
b) State any four disadvantages of foreign trade (4)

OR

- 20 a) What are the measures for correcting a balance of payment disequilibrium? (10)
b) Identify any four effects of tariffs in foreign trade (4)
